

Before the
FEDERAL MARITIME COMMISSION

Washington, D.C. 20573

Docket No. 23-02

BED BATH & BEYOND INC. v.

ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED

**COMPLAINANT BED BATH & BEYOND INC.'S MOTION FOR
PARTIAL DECISION ON THE PLEADINGS AGAINST RESPONDENTS
ORIENT OVERSEAS CONTAINER LINE LIMITED AND OOCL (EUROPE) LIMITED**

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Complainant Bed Bath & Beyond Inc. (“BBBY” or “Complainant”), by and through its undersigned counsel, respectfully moves the Presiding Officer in this action for a partial decision on the pleadings in Complainant’s favor with respect to the First, Second, and Third Affirmative Defenses set forth in the May 22, 2023 Answer to Verified Complaint (the “Answer”) of Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited (collectively, “OOCL” or “Respondents”) in this action, and states as follows in support of such motion.

PRELIMINARY STATEMENT

Complainant’s Verified Complaint (the “Complaint”) meticulously alleges conduct by OOCL in violation of multiple provisions of the Shipping Act of 1984, as amended, 46 U.S. Code Sections 40101 *et seq.* (the “Shipping Act”), including 46 U.S. Code Sections 41102(c), 41104(a)(2), 41104(a)(10), as well as the Federal Maritime Commission’s (“FMC” or the “Commission”) Interpretive Rule on Demurrage and Detention Under the Shipping Act, 46 C.F.R. Section 545.5 (the “Interpretive Rule”).

On May 22, 2023, Respondents filed an oddly formatted Answer that buries Respondents’ substantive answers to Complainant’s allegations between a series of affirmative defenses. This motion is directed to three of Respondents’ purported affirmative defenses, each of which seeks to challenge the Commission’s jurisdiction over this matter. In summary:

- The rambling First Affirmative Defense, which precedes Respondents’ answer and spans three pages, consists largely of a narrative defense of Respondents’ alleged wrongdoing. Relevant to this motion, the First Affirmative Defense asserts what Respondents call a “fundamental” jurisdictional defect—*i.e.*, that “the Commission clearly lacks subject matter jurisdiction” over any allegations that relate to alleged “breache[s of] the service contracts (either expressly or implicitly)”. Respondents contend, without citation to any of Complainant’s allegations, that “[a]t its core, the Complaint centers on BBBY’s claim that Respondents have breached the service contracts agreed between themselves and BBBY”. In effect, Respondents argue that, if a service contract exists between a shipper and an ocean carrier, the Commission is powerless to adjudicate any Shipping Act violations arising in connection with the parties’ relationship.

- The Second Affirmative Defense, which appears after Respondents’ answer, repeats the same meritless jurisdictional defense, alleging that “Respondents deny that the Federal Maritime Commission possesses subject matter jurisdiction over this case” because “46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one’s service contract commitments) is ‘an action in an appropriate court,’ not the Commission.”
- The Third Affirmative Defense advances a creative (but baseless) theory challenging the Commission’s authority to hear this dispute, alleging that “the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof . . . with regard to service contracts” that occurred prior to the enactment of the Ocean Shipping Reform Act of 2022, Pub. L. 117-146 (2022) (“OSRA 2022”). In effect, the Third Affirmative Defense argues that every Commission proceeding concerning service contracts for the last several decades represented an unlawful overreach outside the Commission’s jurisdiction.

Baseless jurisdictional arguments such as these are pernicious and wasteful. It is a well-worn strategy of uncooperative litigants to challenge a tribunal’s jurisdiction, and then to rely on those jurisdictional challenges to flout their discovery obligations and justify noncompliance with court orders. Indeed, that exact fact pattern recently occurred in *MCS Industries, Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Company SA*, FMC Dkt. No. 21-05, in which MSC Mediterranean Shipping Company SA (“MSC”) interposed jurisdictional challenges based on the exact same theory Respondents now assert in their First and Second Affirmative Defenses, and relied on those jurisdictional challenges to flout the Presiding Officer’s discovery orders in that action. MSC’s discovery misconduct ultimately resulted in a decision on default against MSC, but only after wasting more than a year of the Presiding Officer’s time and driving up substantial legal expenses for the complainant in that action. Accordingly, it makes good sense for the Presiding Officer to reject Respondents’ meritless jurisdictional defenses now, at the outset of the case, to conserve judicial resources and clarify the issues for all parties during discovery and trial.

In essence, Respondents' First and Second Affirmative Defenses seek to turn established Commission and court precedent on its head by arguing that the Commission lacks jurisdiction over this action under the Shipping Act simply because the facts underpinning the Complaint could also underpin breach of contract claims that could hypothetically be brought in a court. That is not the law, however, and the Commission is not only the *proper* tribunal to hear the claims brought in the Complaint, but indeed the *only* forum for such claims.

Respondents' Third Affirmative Defense also ignores the stated basis for Complainant's claims and seeks to re-style them as cargo space accommodation claims under language recently added to the Shipping Act by OSRA 2022, arguing that the Commission lacked jurisdiction over claims relating to space accommodations under service contracts prior to June 16, 2022, the date OSRA 2022 was signed into law. This defense has no merit because (1) the Complaint in this action does not allege any claim under any new provision of the Shipping Act added by OSRA 2022, and (2) even if the Complaint had styled one or more of its claims as unreasonable cargo space accommodation claims, the Commission already had jurisdiction over such claims during the time periods relevant to the Complaint (and prior to the passage of OSRA 2022).

For the reasons stated herein, Respondents' First, Second, and Third Affirmative Defenses are facially meritless, and the Presiding Officer should therefore grant a partial decision on the pleadings in Complainant's favor with respect to them.

LEGAL STANDARD

Rule 69 of the Commission's Rules of Practice and Procedure (the "Rules") expressly contemplates motions for decision on the pleadings. *See* 46 C.F.R. § 502.69. Although the Rules do not provide an explicit legal standard for such motions, Rule 12 provides, "[i]n proceedings under this part, for situations which are not covered by a specific Commission rule, the Federal Rules of Civil Procedure will be followed to the extent that they are consistent with sound

administrative practice.” 46 C.F.R. § 502.12. As the Commission explained in a recent decision, “[m]otions for judgment on the pleadings are brought under Federal Rule of Civil Procedure 12(c), and motions to dismiss for failure to state a claim are brought under Rule 12(b)(6). The standard of review for 12(c) and 12(b)(6) motions ‘is essentially the same.’” *Ovchinnikov v. Hitrinov*, FMC Dkt. Nos. 15-11 & 1973(I), 2023 WL 1963462, at *5 (Fed. Mar. Comm’n Feb. 8, 2023).

“Federal Rule of Civil Procedure 12(c) provides that ‘[a]fter the pleadings are closed—but early enough not to delay trial—a party may move for judgment on the pleadings.’” *Brown v. D.C.*, 249 F. Supp. 3d 439, 442 (D.D.C. 2017). “It is common to apply Rule 12(c) to individual causes of action, as well as individual affirmative defenses and answers.” *Neo4j, Inc. v. PureThink, LLC*, No. 5:18-cv-07182-EJD, 2020 WL 2614871, at *4 (N.D. Cal. May 21, 2020) (granting 12(c) judgment on the pleadings against several affirmative defenses) (cleaned up); *accord Lockheed Martin Corp. v. United States*, 664 F. Supp. 2d 14, 20 (D.D.C. 2009) (“Lockheed’s motion for judgment on the pleadings [] is granted [against] the sixteenth affirmative defense [and partially against] the second affirmative defense”).¹

“The standard for determining whether to grant a motion for judgment on the pleadings [directed towards affirmative defenses] under Rule 12(c) . . . is [also] the same as that governing

¹ The relief that Complainant seeks with this motion could alternatively be granted under Rule 12(f) of the Federal Rules of Civil Procedure, which permits a court to strike from a pleading an insufficient defense. *See GEOMC Co. v. Calmare Therapeutics Inc.*, 918 F.3d 92, 98 (2d Cir. 2019) (“There is no dispute that an affirmative defense is improper and should be stricken if it is a legally insufficient basis for precluding a plaintiff from prevailing on its claims.”); *Vasquez v. Leprino Foods Co.*, No. 1:17-cv-00796-AWI-BAM, 2021 WL 1737480, at *5-*6 (E.D. Cal. May 3, 2021). “Under Rule 12(f) of the Federal Rules of Civil Procedure, the court may strike from a pleading ‘any insufficient defense or any redundant, immaterial, impertinent, or scandalous matter.’ A court has ‘liberal discretion’ to strike such filings as it deems appropriate . . . a motion to strike a defense as insufficient should be granted where it is clear that the affirmative defense is irrelevant and frivolous and its removal from the case would avoid wasting unnecessary time and money litigating the invalid defense.” *Intex Recreation Corp. v. Team Worldwide Corp.*, 390 F. Supp. 2d 21, 24 (D.D.C. 2005). Consequently, regardless of whether the Presiding Officer assesses this motion under Rule 12(c) or Rule 12(f), the result would be the same. The affirmative defenses raised by Respondents do not satisfy either standard because they are legally insufficient as a matter of law and thus fail to present any factual dispute that would warrant trial on them.

a motion to dismiss made under Rule 12(b)(6) . . . for the court’s task is to ‘assess the legal feasibility of the [affirmative defense] or counterclaim, not assay the weight of the evidence which might be offered in support thereof.’” *Kidder Peabody & Co. v. Unigestion Int’l, Ltd.*, 903 F. Supp. 479, 492–502 (S.D.N.Y. 1995) (granting plaintiff’s “motion for judgment on the pleadings as to [defendant’s] Affirmative Defenses”); *accord Mills Corp. v. Miller*, No. CIV. A. 97-219 (TAF), 1997 WL 280599, at *3 (D.D.C. May 20, 1997) (“[B]ecause Miller’s motion attacks the legal sufficiency of Mills’ affirmative defense, Miller may raise it . . . by motion for judgment on the pleadings . . .”) (cleaned up); *Vasquez*, 2021 WL 1737480, at *2 (granting 12(c) judgment on the pleadings against affirmative defenses).

Where a party has challenged the Commission’s jurisdiction, “[i]t is elementary law that a tribunal should determine its jurisdiction *before* addressing the merits of a controversy brought before it.”” *MCS Indus., Inc. v. COSCO Shipping Lines Co., Ltd. & MSC Mediterranean Shipping Co. SA*, FMC Dkt. No. 21-05, 2022 WL 458569, at *5 (Fed. Mar. Comm’n C.A.L.J. Feb. 4, 2022) (emphasis added) (*quoting Crowley Liner Serv., Inc. and Trailer Bridge, Inc. v. Puerto Rico Ports Auth.*, 29 S.R.R. 394, 396 (Fed. Mar. Comm’n A.L.J. 2001)); *see also The Gov’t of the Territory of Guam v. Sea-Land Serv., Inc.*, 28 S.R.R. 252, 265 (Fed. Mar. Comm’n 1998); *River Parishes Co. Inc. v. Ormet Primary Aluminum Corp.*, 28 S.R.R. 751, 762 (Fed. Mar. Comm’n 1999); *NPR, Inc. v. Bd. of Comm’rs of the Port of New Orleans*, 28 S.R.R. 1512, 1519 (Fed. Mar. Comm’n A.L.J. 2000)).

ARGUMENT

I. Respondents' First and Second Affirmative Defenses Are Baseless and Should Be Dismissed as a Matter of Law.

A. Respondents' First and Second Affirmative Defenses Improperly Attempt To Recast Complainant's Shipping Act Claims as Common Law Breach of Contract Claims.

This Shipping Act dispute arises from allegations that OOCL systematically and repeatedly failed to meet its service commitments to Complainant and other shippers and instead (1) allocated bargained-for space away from shippers with service contracts to other shippers to maximize OOCL's own profits, (2) coerced higher pricing by forcing Complainant and other shippers to enter into higher priced contracts as a precondition for OOCL to carry just a fraction of the quantity to which it had already committed, and (3) demanded unreasonable, extra-contractual Peak Season Surcharges and other surcharges just in order to carry a fraction of the cargo for which Complainant and other shippers had already bargained for space. (*See, e.g.*, Verified Compl. ¶¶ 5, 6, 8, 11, 20, 25, 50, 55, 72, 123.) As a result of this alleged conduct, Complainant and other shippers were either forced to pay OOCL's increasingly exorbitant demands just to get the space to which OOCL had already committed in its service contracts with Complainant and other shippers (the "Service Contracts") or obtain space on the spot market at enormous expense during a period of unprecedented high spot prices. The Complaint also alleges that OOCL charged impermissible detention and demurrage charges (the "Charges") when Complainant and its agents were unable to pick up and return containers due to circumstances outside the control of Complainant or its agents. (*See* Verified Compl. ¶¶ 73–74.)

Every cause of action pleaded in the Complaint arises from alleged violations of the Shipping Act, 46 U.S. Code Sections 40101 *et seq.*, and seeks only statutory remedies specifically provided by the Shipping Act:

- Count I of Complainant’s Complaint brings a claim under 46 U.S. Code Section 41102(c), alleging that OOCL failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of Complainant and other shippers because OOCL engaged in a practice “of systematically failing to meet its service commitments to Complainant and, upon information and belief, other shippers, seeking to coerce Complainant and, upon information and belief, other shippers, to pay PSS and enter into premium contracts in order to obtain space” (Verified Compl. ¶ 123.) This claim alleges *systematic* practices by OOCL with respect to the cargo of Complainant *and other shippers* that served as means of coercing higher prices from Complainant and other shippers with Service Contracts and of abandoning service commitments in order to seek more profitable terms.
- Count II brings a separate claim under 46 U.S. Code Section 41102(c) and the Commission’s Interpretive Rule, 46 C.F.R. Section 545.5, alleging that OOCL failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of Complainant because OOCL engaged in a practice of improperly assessing detention and demurrage charges in circumstances where such charges could not have served as an incentive, but instead served only as an impermissible penalty. (Verified Compl. ¶ 125.)
- Count III brings a claim under 46 U.S. Code Section 41104(a)(2), which prohibits a carrier from providing service in the liner trade (i.e., pursuant to a fixed route and/or schedule, as opposed to so-called ocean tramp service) that is “not in accordance with the rates, charges, classifications, rules, and practices contained in . . . a service contract” The Complaint alleges that OOCL’s practices “of systematically failing to meet its service commitments to Complainant and seeking to coerce Complainant to pay PSS and enter into premium rate contracts constituted provision of service in the liner trade that was not in accordance with the rules and practices contained in Respondent’s Service Contracts with Complainant”, and further alleges that OOCL engaged in such conduct not just with Complainant, but with other shippers, as well. (Verified Compl. ¶¶ 92, 127.)
- Count IV brings a claim under 46 U.S. Code Section 41104(a)(10).² The Complaint alleges that OOCL unreasonably refused to deal or negotiate with Complainant by “systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, and [engaging in] the acts or omissions of Respondent that led to the assessment of the Charges” (*Id.* ¶ 129.)

² Prior to OSRA 2022’s entry into law on June 16, 2022, 46 U.S. Code Section 41104(a)(10) provided that a carrier could not “unreasonably refuse to deal or negotiate”. OSRA 2022 added language to that Section expressly confirming what was already the case prior to its passage; namely, that 41104(a)(10)’s prohibition included within its scope unreasonable refusals to deal or negotiate “with respect to vessel space accommodations provided by an ocean common carrier”

None of Complainant’s causes of action alleges a common law claim for breach of contract. Nonetheless, Respondents’ First and Second Affirmative Defenses ignore the explicitly pleaded statutory basis for each of Complainant’s claims, and instead contend, without citation to any of Complainant’s allegations, that “[a]t its core”, the Complaint relates “expressly or implicitly” to claims for breach of service contract. (Answer at 1–2, 14.)

Respondents cannot simply rewrite Complainant’s allegations to ignore the Shipping Act violations alleged therein—but that rarely stops ocean carriers from trying, and failing, to recast Shipping Act complaints as common law contract claims. Ocean carrier Hamburg Süd recently raised the exact same jurisdictional argument in *OJ Commerce v. Hamburg Südamerikanische Dampfschiffahrts-Gesellschaft A/S & Co. KG*, and the Presiding Officer rejected it, finding that “[t]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.” FMC Dkt. No. 21-11, 2022 WL 538935, at *4 (Fed. Mar. Comm’n C.A.L.J. Feb. 18, 2022). Ocean carrier MSC tried the same tactic in the *MCS Industries* action, with the same result. *See MCS Indus.*, 2022 WL 458569, at *5–6 (rejecting MSC’s jurisdictional argument and holding that “the Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims.”).

Respondents’ First and Second Affirmative Defenses rely on exactly the same hoary argument advanced unsuccessfully in *OJ Commerce* and *MCS Industries*, and fail for the same reasons. It is well settled that the Commission has jurisdiction to adjudicate Shipping Act claims, even if such claims involve conduct that could also be relevant to a breach of contract claim. *See id.* (collecting cases and noting that “Commission precedent holds that *even when there is*

litigation between the parties in other courts [which is not the case here], the Commission has an obligation to determine whether an entity has violated the Shipping Act”) (emphasis added).

B. It Is Well-Settled that the Commission Has Jurisdiction over the Shipping Act Claims Alleged in the Complaint.

The First and Second Affirmative Defenses contend that the Commission lacks jurisdiction over Complainant’s claims because “Complainant alleges a breach or breaches of its service contract with Respondents” and “46 U.S.C. § 40502(f) provides that the exclusive remedy for an alleged breach of a service contract (including any cause of action premised on the obligation to meet one’s service contract commitments) is ‘an action in an appropriate court,’ not the Commission.” (Answer at 2, 14.)³

As discussed above, Respondents’ contention that the Commission lacks jurisdiction over conduct that could constitute *both* violations of the Shipping Act *and* breaches of contract is unavailing and contrary to well-settled law. *See* Section A, *supra*; *OJ Commerce*, 2022 WL 538935, at *4; *MCS Indus.*, 2022 WL 458569, at *5–6. 46 U.S.C. Section 40502(f) stands only for the proposition that breach of contract claims—*i.e.*, claims sounding in contract and seeking contractual damages—are properly brought in court, and not before the Commission. The Commission, many federal courts, and the Presiding Officer have all addressed and rejected similar claims and found that the Commission has exclusive jurisdiction over claims pursuant to the

³ Because the gravamen of Respondents’ First, Second, and Third Affirmative Defenses focuses on their meritless “breach of contract” theory, this motion does not separately address Complainant’s claims concerning improper detention and demurrage charges. Respondents do not appear to dispute that the Commission has jurisdiction over such claims, and in any event, such jurisdiction is well-settled. *See, e.g., Acme Freight Servs. Corp. v. Total Terminals Int’l*, FMC Dkt. No. 22-07, 2022 WL 1772290, at *4 (Fed. Mar. Comm’n C.A.L.J. May 26, 2022) (denying a motion to dismiss because the “complaint alleges that the assessment of demurrage charges during the CBP hold on the Containers was inconsistent with the FMC’s interpretative rule on demurrage and detention found at 46 C.F.R. § 545.5 and Section 41102(c) of the Shipping Act” because such conduct “plausibly alleges a violation of the Commission’s Detention and Demurrage Rule”).

Shipping Act, including alleged violations of 46 U.S.C. Sections 41102 and 41104, even when the underlying conduct could also constitute a breach of contract.

46 U.S.C. Section 41301 provides for private causes of action for alleged violations of the Shipping Act, and 46 U.S.C. Section 41305 authorizes the FMC (and its Administrative Law Judges) to award reparations, interest, and attorneys' fees to a prevailing party in connection with such violations. The Commission has long drawn a distinction between breach of contract claims and claims alleging violations of the Shipping Act, and has noted that the Commission holds independent jurisdiction over the latter while courts hold jurisdiction over the former:

Although the complainant in this case has already obtained an arbitration award relating to certain breach of contract allegations, the Commission is obligated to hear those allegations particular to the Shipping Act, which is consistent with our statutory mandate. Federal and Commission caselaw support the proposition that Anchor may still seek reparations before the Commission. Arbitration is binding on the parties as to breach of contract claims, but it cannot prohibit the Commission from exercising its statutory obligations. The Commission's obligation to ensure the legality of service contracts is of paramount importance...***Because alleged Shipping Act violations are intertwined with breach of contract issues in the present case, such matters must be resolved before the Commission.***

Anchor Shipping Co. v. Aliana Navegao E Logistica Ltda., FMC Dkt. No. 02-04, 2006 WL 2007808, at *10–11 (Fed. Mar. Comm'n 2006) (emphasis added).

Not only must the Commission consider alleged violations of the Shipping Act separate and apart from any breach of contract theories that may exist in other fora, “[t]he Commission has ***exclusive jurisdiction*** to administer and enforce the [Shipping] Act. Violations of the 1984 [Shipping] Act can be rectified only by the sanctions and remedies provided for in that Act.” *Unpaid Freight Charges*, 58 Fed. Reg. 7190-02, 1993 WL 24805 (Fed. Mar. Comm'n Feb. 5, 1993) (emphasis added); *accord Baltic Auto Shipping, Inc. v. Hitrinov*, FMC Dkt. No. 14-16, slip op. at 5 (Fed. Mar. Comm'n A.L.J. Feb. 2, 2015) (quoting *Unpaid Freight Charges*). Federal courts agree. *See Mediterranean Shipping Co. USA Inc. v. AA Cargo Inc.*, 46 F. Supp. 3d 294,

301 (S.D.N.Y. 2014) (“[T]he Shipping Act does not provide for a private cause of action in federal district court; rather, alleged violations of the Shipping Act must be addressed with the Federal Maritime Commission.”); accord *MAVL Capital, Inc. v. Marine Transp. Logistics, Inc.*, 130 F. Supp. 3d 726, 730-31 (E.D.N.Y. 2015) (collecting cases and dismissing Shipping Act claims).

Although 46 U.S. Code Section 40502(f) provides that the venue for a common law claim for breach of a service contract lies in court and not before the Commission, the Commission has long recognized that the Shipping Act provides different legal theories and remedies than a breach of contract claim, and Shipping Act claims “are not addressed in actions for breach of contract and no remedy for such violations would be provided in a breach of contract action.” *Cargo One, Inc. v. Cosco Container Lines Co., Ltd.*, FMC Dkt. No. 99-24, 28 S.R.R. 1635, 2000 WL 1648961, at *15 (Fed. Mar. Comm’n 2000) (determining that the ALJ should have considered Shipping Act claims).

C. The Presiding Officer Recently Rejected Virtually Identical Arguments by Multiple Ocean Carriers Seeking To Evade the FMC’s Jurisdiction.

Consistent with these precedents, the Presiding Officer has recognized in recent decisions in other actions that allegations regarding Shipping Act violations can overlap with allegations that might support a breach of contract claim, but the mere presence of facts that *could* be a basis for common law breach of contract claims does not divest the Commission of jurisdiction over Shipping Act claims.

In *MCS Industries*, the complainant brought a case based on a similar fact pattern to this action, claiming (as Complainant does here) that the respondents violated 46 U.S.C. Sections 41102(c), 41104(a)(2), and 41104(a)(10) by (a) failing to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, and delivering the property of the complainant and other shippers under service contracts, (b) providing

service in the liner trade that was not in accordance with rates and charges contained in service contracts, and (c) unreasonably refusing to deal or negotiate with the complainant. *MCS Indus.*, 2022 WL 458569, at *4–7, 9. As in this action, the claims in *MCS Industries* were predicated on allegations that the respondents there engaged in a practice of favoring higher priced cargo and refusing to satisfy their service commitments pursuant to established service contracts unless the complainant agreed to pay additional fees and costs. *Id.* The Presiding Officer determined that:

[T]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the facts alleged may give rise to both breach of contract claims and Shipping Act claims. Allegations in the amended complaint extend beyond allegations of breach of the service contract to allege practices that violate the Shipping Act, such as . . . systematically preferring higher-priced cargo, and coercing surcharges The Commission has an obligation to determine the reasonableness of practices by regulated entities that are alleged to violate the Shipping Act.

Id. at *6. (emphasis added) (finding that the complainant had adequately stated a claim under 46 U.S.C. § 41102(c) regarding the receiving, handling, storing, or delivering of property based on claims of favoring higher priced cargo and coercive surcharges).

Similarly, in *OJ Commerce*, which also related to failure to meet a service commitment as well as retaliation against a shipper who threatened Shipping Act claims, ocean carrier Hamburg Süd argued that “the complaint is subject to dismissal because ‘[o]ne of the alleged violations of Section 41102(c) enumerated in the complaint is the failure to fulfill service obligations under a service contract,’ but in actuality Complainant’s allegation represents ‘a claim for a breach of contract, not a claim of a violation of the Act.’” *OJ Commerce*, 2022 WL 538935, at *4. The Presiding Officer rejected Hamburg Süd’s argument, holding that “[t]he Commission has an obligation to determine whether an entity has violated the Shipping Act, even when the allegations may constitute both breach of contract claims and claims that the entity violated the Shipping Act.” *Id.* (citing *Baltic Auto Shipping, Inc.* 33 S.R.R. at 1232–33) (Order Denying Request for Stay)).

Respondents' First and Second Affirmative Defenses raise precisely the same flawed jurisdictional theory that the Presiding Officer recently rejected in the *MCS Industries* and *OJ Commerce* cases, and fail for the same reasons.

D. The First and Second Affirmative Defenses Are Meritless Under Clear, Long-Standing Precedent and the Plain Language of the Shipping Act.

The First and Second Affirmative Defenses are meritless because they conflict with established precedent and the plain language of the Shipping Act, and, if adopted, would effectively void or render meaningless the prohibitions contained in the Shipping Act.

The Complaint alleges four causes of action under the Shipping Act pursuant to 46 U.S. Code Sections 41102(c), 41104(a)(2), and 41104(a)(10), as well as 46 C.F.R. Section 545.5. As noted above, the Complaint contains no breach of contract or other non-Shipping Act causes of action. The fact that Complainant had Service Contracts with Respondents does not change the statutory nature of Complainant's claims or preclude Complainant from bringing such claims; to the contrary, the existence of a service contract is a *prerequisite* to Complainant's Section 41104(a)(2) claim.⁴ The Commission is thus the appropriate *and exclusive* venue for the Shipping Act claims alleged in this action, and the Presiding Officer and Commission can and must decide the merits of those claims. *See Anchor Shipping Co.*, 2006 WL 2007808, at *10–11 (stating that the existence of a contract claim or disposition “cannot prohibit the Commission from exercising its statutory obligations”).

Not only do Respondents' jurisdictional Affirmative Defenses fail because they seek to mischaracterize Complainant's well-pled claims in such a way as to strip the Commission of jurisdiction, the Presiding Officer in *MCS Industries* and *OJ Commerce* analyzed causes of action

⁴ The same would be true if Complainant here had, like the complainant in *MCS Industries*, brought additional causes of action under 46 U.S. Code Sections 41104(a)(5) or (a)(9), both of which similarly are, by their very nature, predicated on “service pursuant to a service contract”.

under the same statutes and on similar alleged facts, and explicitly found it proper to exercise jurisdiction over such claims. *See MCS Indus., Inc.*, 2022 WL 458569, at *6; *OJ Commerce*, 2022 WL 538935, at *4.

Contrary to Respondents' position, the Commission's jurisdiction over the four causes of action alleged in the Complaint is so well-established as to be beyond cavil:

- As to Count I, as the Presiding Officer recently held in *MCS Industries* and *OJ Commerce*, the Commission has jurisdiction over a 46 U.S. Code Section 41102(c) Shipping Act violation even where a complainant may also have a separate breach of contract claim arising from the same conduct.
- As noted above, Respondents do not appear to challenge the Commission's jurisdiction over Count II, which relates to detention and demurrage charges.
- Respondents' challenge to Count III's 46 U.S. Code Section 41104(a)(2) claim was also addressed in *MCS Industries*, where the Presiding Officer specifically rejected the notion that 46 U.S. Code Section 40502(f) serves as a bar to claims under Section 41104(a)(2) based on a carrier's failure to operate in accordance with a filed service agreement. *See MCS Indus., Inc.*, 2022 WL 458569 at *7. The Presiding Officer in *MCS Industries* reasoned that "the Shipping Act requires common carriers to abide by the terms of their published tariffs and service contracts" and a corresponding Shipping Act claim can stand before the Commission where a "complaint does not allege a breach of the service contract but rather that Respondent's rules and practices violated the Shipping Act." *Id.* at *7. There is simply no basis for an argument that Section 40502(f) deprives the Commission of jurisdiction over Complainant's Section 41104(a)(2) claim, because such an overbroad reading of Section 40502(f) would effectively read Section 41104(a)(2) (and other provisions of Section 41104 predicated on service pursuant to a service contract) out of the Shipping Act entirely.
- As to Count IV's 46 U.S. Code Section 41104(a)(10) refusal to deal claim, the Presiding Officer in *MCS Industries* rejected the argument that such a claim was "inherently a breach of contract claim" and found that allegations that a carrier refused to satisfy service commitments as a means of extracting additional fees from a shipper constitutes an independent Shipping Act violation under Section 41104 rather than a mere breach of contract claim. *See MCS Indus., Inc.*, 2022 WL 458569, at *9. Here, the Complaint alleges that "Respondent's practices alleged herein of systematically failing to meet its service commitments to Complainant, failing to provide contracted space to Complainant without PSS or premium rates, and the acts or omissions of Respondent that led to the assessment of the [detention and demurrage] Charges, constituted unreasonable refusals to deal or negotiate with Complainant" (Verified Compl. ¶ 129.)

For these reasons, the Presiding Officer should reject Respondents' First and Second Affirmative Defenses and instead determine as a matter of law that the Commission has jurisdiction over each of Complainant's four causes of action in the Complaint.

II. Respondents' Third Affirmative Defense, Contending that the Commission Historically Lacked Jurisdiction Over Claims Concerning Accommodations in Connection with Service Contracts, Is Baseless and Should Be Dismissed as a Matter of Law.

In their Third Affirmative Defense,⁵ Respondents claim that the Commission lacks authority "to regulate space accommodations under service contracts" during the time periods complained of. (Answer at 14–15.) This affirmative defense fails for two reasons. *First*, the defense is inconsistent with decades of FMC proceedings concerning Shipping Act violations in connection with service contracts, including the recent jurisdictional decisions by the Presiding Officer in *MCS Industries* and *OJ Commerce*. *Second*, the Third Affirmative Defense fails on the merits because Complainant's causes of action are not in any way based or dependent on OSRA 2022's amendments to the Shipping Act. To the extent such amendments are the basis for Respondents' arguments in this connection, those arguments are unavailing because OSRA 2022

⁵ Respondents' Third Affirmative Defense states as follows:

Without waiving any other defenses, and for further answer, Respondents assert that the Commission lacks authority to regulate the reasonableness of cargo space accommodations, or any refusal thereof, for the time period covered by the Complaint. While the Shipping Act, 1916 authorized the Commission to broadly regulate the reasonableness of cargo space accommodations, the Shipping Act of 1984 removed that authority with regard to service contracts. In the Ocean Shipping Reform Act of 1998, Congress continued this deregulatory narrowing of FMC authority, clarifying that the Shipping Act bars unfair or unjustly discriminatory practices in the matter of cargo space accommodations (or other unfair or unjustly discriminatory methods) only when undertaken in connection with service pursuant to a tariff. Congress purposefully eliminated the Commission's power to regulate the reasonableness of cargo space accommodations for service pursuant to a service contract, in favor of a deregulatory market-based approach. Congress only restored FMC authority to regulate space accommodations under service contracts in the Ocean Shipping Reform Act of 2022, enacted after the conduct at issue in the Complaint. The Commission cannot repurpose other provisions of the Shipping Act in novel and unintended ways, in order to reclaim regulatory powers that Congress specifically removed.

(Answer at 14–15.)

did not alter or expand the Commission’s subject-matter jurisdiction in any way relevant to Complainant’s causes of action in the Complaint.

In essence, Respondents appear to argue that, beginning with the Ocean Shipping Reform Act of 1998, Pub. L. 105-258 (1998) (“OSRA 1998”), or possibly even with the Shipping Act of 1984, and until OSRA 2022’s entry into law, the mere existence of a service contract between a shipper and a carrier effectively exonerated the carrier from any potential Shipping Act liability under the provisions on which Complainant has sued. Such an argument, however, is utterly inconsistent with not only the plain language of the Shipping Act—both before and after OSRA 2022’s amendments to it—but also the stated purpose of OSRA 2022 and years of FMC jurisprudence.⁶ The Presiding Officer should reject Respondents’ argument, which has no merit.

A. The FMC Has Routinely, and Properly, Exercised Jurisdiction Over Matters Involving Service Contracts Since the Passage of OSRA 1998.

Respondents’ Third Affirmative Defense appears to claim that OSRA 2022’s amendments to the Shipping Act substantively expanded the Shipping Act’s scope, such that the Commission should be found to have *lacked* authority over claims such as those brought in the Complaint for conduct prior to OSRA 2022’s entry into law in June 2022. Under Respondents’ theory, *every* case involving a service contract in which the Commission exercised jurisdiction between 1998 and 2022 constituted an unlawful jurisdictional overreach.

Respondents’ argument that the Commission somehow went rogue, and stayed rogue, for the last twenty-five years finds no support in the Shipping Act, OSRA 1998, OSRA 2022, or Commission precedent. For decades since OSRA 1998, the FMC has routinely exercised

⁶ The expansive thrust of Respondents’ Third Affirmative Defense also appears incongruent with the Answer’s oddly specific references to the Commission’s authority to regulate “unfair or unjustly *discriminatory* practices”. (Answer at 14 (emphasis added).) The Verified Complaint in this action does not allege any causes of action under the provisions of 46 U.S. Code Section 41104 that specifically address *discriminatory* practices (i.e., Section 41104(a)(4) or (a)(5), or the new Section 41104(a)(3) added by OSRA 2022).

jurisdiction over matters involving service contracts. *See, e.g., Bakerly, LLC v. Seafrigo USA, Inc.*, FMC Dkt. No. 22-17, 2023 WL 1963459, at *7 (Fed. Mar. Comm’n A.L.J. Feb. 7, 2023); *OJ Commerce*, 2022 WL 538935, at *4; *MCS Indus., Inc.*, 2022 WL 458569, at *6; *Greatway Logistics Grp., LLC, v. Ocean Network Express Pte. Ltd.*, FMC Dkt. No. 21-04, 2021 WL 3090768, at *2–3 (Fed. Mar. Comm’n C.A.L.J. July 16, 2021); *Marine Transp. Logistics, Inc. v. CMA-CGM (America) LLC*, FMC Dkt. No. 18-07, 2019 WL 5206007, at *6-*7 (Fed. Mar. Comm’n C.A.L.J. Oct. 8, 2019); *Carlstar Group LLC f/k/a Carlisle Transportation Products, Inc. v. Uti, United States, Inc.*, FMC Dkt. No. 17-08, 2018 WL 2356145, at *13, 1 F.M.C.2d 103, 118 (Fed. Mar. Comm’n A.L.J. May 18, 2018); *Anchor Shipping Co.*, 2006 WL 2007808, at *8–9; *Cargo One, Inc.*, 2000 WL 1648961, at *15.

That uniform line of precedent remains unchanged by the passage of OSRA 2022. Indeed, in January 2023, more than six months *after* OSRA 2022 became law, the Presiding Officer in *MCS Industries* entered a decision on default against MSC and again rejected MSC’s argument that “the Commission does not have jurisdiction because the claims are inherently breach of contract claims”. *See MCS Indus.*, FMC Dkt. No. 21-05, Initial Decision on Default at 14–16 (Fed. Mar. Comm’n C.A.L.J. Jan. 13, 2023). The Presiding Officer made the same jurisdictional determination in May 2022 (prior to the President’s signing of OSRA 2022, but months after its passage in the Senate) regarding demurrage and detention claims such as those raised in Count II of Complainant’s Complaint under 46 U.S. Code Section 41102(c) and the Commission’s Interpretive Rule, 46 C.F.R. Section 545.5. *See Acme Freight Servs. Corp.* 2022 WL 1772290, at *4.

The claims in *MCS Industries* and *Acme Freight* both arose under the same pre-OSRA 2022 Shipping Act provisions underlying Complainant’s claims in this action, and the Presiding

Officer relied extensively on pre-OSRA 2022 precedent in affirming the Commission’s jurisdiction in both cases. Under those same pre-OSRA 2022 authorities, the Complaint adequately pleads legally cognizable claims under the Shipping Act provisions in force at the time of the conduct at issue, and the Commission properly has jurisdiction over those claims. For these reasons, Respondents’ Third Affirmative Defense necessarily fails, and the Presiding Officer should dismiss it on the pleadings.

B. Respondents’ Third Affirmative Defense Fails on the Merits Because the 2022 Shipping Act Amendments Did Not Change the Scope of the Commission’s Jurisdiction with Respect to the Allegations in the Complaint.

Respondents’ Third Affirmative Defense also fails as a matter of law because nothing in OSRA 2022 limits the viability of the claims brought in the Complaint, and nothing in those claims is dependent on any right created by OSRA 2022. Instead, Complainant’s claims rely on prohibitions and Commission authority that already existed prior to OSRA 2022.

1. OSRA 2022’s Amendments Do Not Affect the Counts Brought in This Action.

The Commission has jurisdiction over each cause of action in the Complaint regardless of which version of the Shipping Act is held to control. The Complaint’s causes of action do not depend on any language from OSRA 2022, but instead depend entirely on provisions of the Shipping Act that already encompassed such causes of action prior to OSRA 2022’s enactment. Indeed, Counts I, II, and III are all alleged under sections of the Shipping Act—46 U.S. Code Sections 41102(c) and 41104(a)(2)—that *were untouched by OSRA 2022*.

Count IV brings a claim under 46 U.S. Code Section 41104(a)(10) for unreasonable refusal to deal or negotiate. OSRA 2022 added a clarifying *example* of one type of conduct that could constitute such an unreasonable refusal: “including with respect to vessel space accommodations provided by an ocean common carrier.” 46 U.S.C. § 41104(a)(10). Federal agencies must “give

effect to the unambiguously expressed intent of Congress” and “exhaust the tools of statutory construction” when the agency interprets the statute which it administers. *Kobel v. Hapag-Lloyd, A.G.*, FMC Dkt. No. 10-06, 2015 WL 3465821, at *12 (Fed. Mar. Comm’n May 26, 2015) (quoting *Chevron U.S.A., Inc. v. Natural Res. Def. Council, Inc.*, 467 U.S. 837 (1984) and *Natural Res. Def. Council v. Browner*, 57 F.3d 1122 (D.C. Cir. 1995)). Here, the addition of such *an example* (preceded by the word “including”) cannot plausibly be read as somehow implying that the pre-existing *unbounded* scope of that provision was somehow limited, or that the specific example provided was somehow excluded from that unbounded scope, prior to the passage of OSRA 2022. *See, e.g., West v. Gibson*, 527 U.S. 212, 217 (1999) (“[T]he preceding word “including” makes clear that the authorization is not limited to the specified remedies there mentioned”). The conduct alleged in the Complaint was equally unlawful both before and after the clarifying amendment to Section 41104(a)(10).

Moreover, the Third Affirmative Defense ignores the scope of Count IV. Count IV is not predicated solely on OOCL’s shortfalls on its service commitments to shippers but also based on alleged coercion of surcharges and higher-cost contracts to carry cargo and the imposition of improper detention and demurrage charges. The Third Affirmative Defense does not allege, because it cannot, that those additional independent bases for Count IV were affected by the enactment of OSRA 2022.

For these reasons, each individual cause of action in the Complaint states a claim under the relevant provision of the Shipping Act as it existed at the time of the alleged conduct at issue, and nothing in OSRA 2022 limits or precludes any of Complainant’s causes of action.

2. The 2022 Shipping Act Amendments Did Not Categorically “Restore” Prior Jurisdiction that Respondents Claim to Have Been Previously Removed.

The crux of Respondents’ Third Affirmative Defense appears to be the suggestion that in 1984 or 1998, Congress removed the Commission’s jurisdiction over ocean carrier cargo accommodations in with respect to service contracts, and then restored it in 2022. Such a suggestion is wholly inconsistent with the Commission’s jurisprudence discussed herein and in the Presiding Officer’s decisions in *MCS Industries*, *OJ Commerce*, and *Acme Freight*, where the Commission and its Administrative Law Judges have continuously and properly exercised jurisdiction over issues relating to service contracts. Further, the legislative history discussing the added references to space accommodations in OSRA 2022 makes *no reference* to Commission jurisdiction over misconduct related to space accommodations in the service contract context, but instead discusses the imbalance of exports and imports and OSRA 2022’s intent to prohibit foreign carriers from refusing accommodations *for exports from the United States* while simultaneously sending containers back to their points of origin in Asia empty.⁷ That issue is irrelevant to this action, which does not relate to exports.

The Commission’s uninterrupted jurisdiction over service contract-related Shipping Act claims is also made clear in an April 8, 1999 letter (the “FMC Letter”) from the Commission’s then-Managing Director, Edward P. Walsh, issued just months after the passage of OSRA 1998,

⁷ See Nov. 4, 2022 letter from Congressman John Garamendi and other co-authors of OSRA 2022 to Commission Chairman Daniel B. Maffei (attached hereto as Exhibit 1) (stressing to the Commission the intent of OSRA 2022 to balance uneven import and exports and prohibit refusals to accept American exports while shipping empty containers back to Asia but not mentioning service contracts); 168 Cong. Rec. H5460-02, 168 Cong. Rec. H5460-02, H5466 (Comments by Rep. John Garamendi) (“The bill establishes a new exception in Federal law that ocean carriers make a good-faith effort to negotiate vessel space and accommodate the cargo bookings *for U.S. exports*.”) (emphasis added); 168 Cong. Rec. S1887-02, 168 Cong. Rec. S1887-02, S1897 (Comments by Sen. John Thune) (“So it does take strong measures to help tackle supply chain slowdowns, and it does level the playing field for *American exporters*, including South Dakota ag producers. It does this in several ways. She has covered it well, but let me just briefly touch on a couple of things. It does this by giving the FMC, or the Federal Maritime Commission, new authorities to crack down on unfair ocean carrier practices, whether that is a refusal to carry certain cargoes or discrimination against certain commodities *for export*.”) (emphasis added).

in response to an inquiry from an attorney about what carriers must do to comply with their obligations under the Shipping Act in situations where the demand for transportation services exceeds available capacity.⁸ In the FMC Letter, Managing Director Walsh provided comments from the Commission's then-General Counsel on some of the existing legal authority on the point, explaining that the Shipping Act required carriers to act reasonably with respect to space accommodations for shippers with service contracts. Ex. 2 at 1. Noting that prior court decisions had enunciated "[a] standard of fairness which *disallows a common carrier from refusing to furnish service to shippers 'solely on the grounds that to continue to provide the service would be inconvenient or less profitable'*", the FMC Letter emphasized:

In situations where increased demand for space is straining a common carrier's operation, *the duty to serve the public fairly and equitably does not become secondary to a carrier's desire and opportunity for revenue enhancement*. Therefore, a common carrier's duty to the public remains constant *regardless of the external factors that may be affecting the carrier's performance*.

Id. at 3 (emphasis added). The FMC Letter proceeded to note that "[t]he principles established in the cases cited above *would appear to govern the conduct of carriers providing 'the common carriage of goods by water' in today's trades*." *Id.* at 4 (emphasis added). Specifically with respect to service pursuant to service contracts, the FMC Letter explained that, "[i]f anything, it would appear that the contractual obligation to provide service in exchange for favorable rates *may reinforce the carrier's obligation to the service contract signatory*." *Id.* The FMC Letter closed by citing *California Shipping Line v. Yang Ming Marine Transport Corp.*, 25 S.R.R. 1213 (Fed. Mar. Comm'n 1990), in which the Commission held that "[i]f a carrier is booked 100 percent with contract cargo, barring other reasonable accommodations, it may have to charter other space or pro-rate its capacity among all its service contract shippers." Ex. 2 at 4. It is clear from the

⁸ A copy of this letter is attached here as Exhibit 2.

FMC Letter that the Commission's jurisdiction over ocean carrier space allocation issues, including space allocations in the context of service contracts, was long-established and unaffected by OSRA 1998. Accordingly, Respondents' Third Affirmative Defense has no legal basis and should be dismissed.

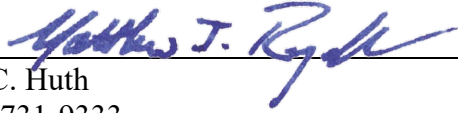
CONCLUSION

For the reasons stated above, Complainant respectfully requests that the Presiding Officer enter a partial decision on the pleadings in Complainant's favor and dismiss Respondents' Second and Third Affirmative Defenses in full and Respondents' First Affirmative Defense in part to the extent that it claims that the Commission lacks jurisdiction over Complainant's claims.

Dated: June 20, 2023

Respectfully submitted,

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Certificate of Service

I hereby certify that I have this day served the foregoing document and its exhibits upon Respondents Orient Overseas Container Line Limited and OOCL (Europe) Limited by emailing copies of those documents to their counsel of record listed below:

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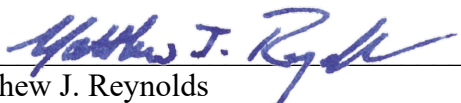
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